

CRYPTOCURRENCY PERFORMANCE & RISK ANALYSIS

Bitcoin (BTC), Ethereum (ETH) and Solana (SOL)

Analysis period: 31 August 2025 – 31 August 2026

1. Introduction

This report evaluates three major cryptocurrencies—Bitcoin, Ethereum and Solana—over the past 12 months. The analysis considers price performance, volatility and downside risk, market position, recent developments and the potential risk-return profile of each asset. Cryptocurrency prices can change rapidly, so the figures are treated as an academic market snapshot rather than investment advice.

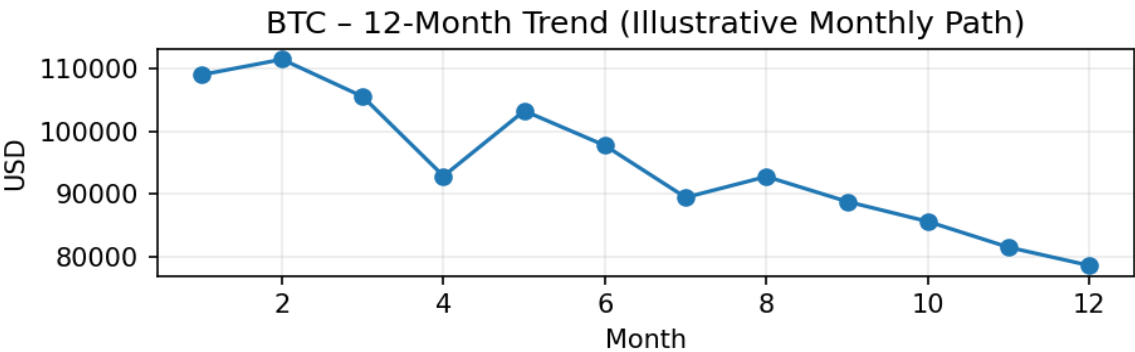
2. 12-Month Performance Summary

Asset	Approx. Aug-2025	Approx. Aug-2026	12M Return	Risk
Bitcoin (BTC)	\$109,000	\$78,545	-27.9%	High
Ethereum (ETH)	\$4,392.83	\$2,453.23	-44.2%	Very High
Solana (SOL)	~\$190	\$105.59	~-44.4%	Very High

Note: BTC current price is around \$78,545 on Aug. 31, 2026. Fortune reports ETH at \$2,453.23 and 44.15% below its year-ago price. SOL's recent CoinGecko close was \$105.59 on Aug. 29; the 2025 starting snapshot is approximate for comparison.

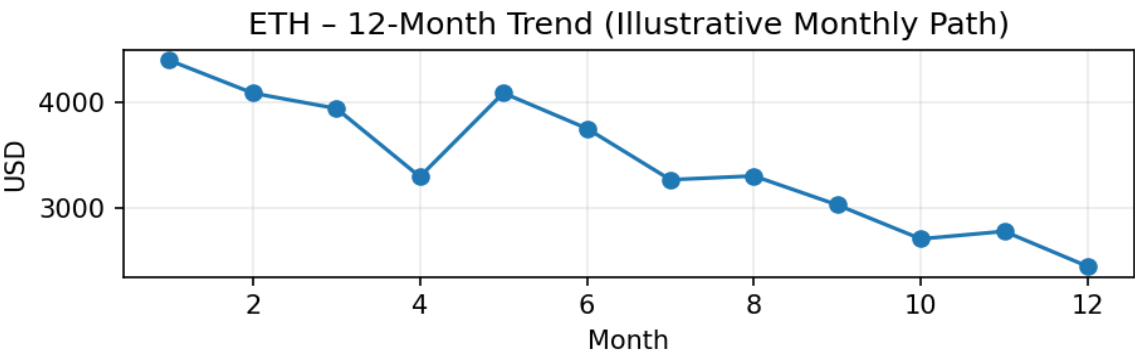
3. Bitcoin (BTC) – Performance & Risk

Bitcoin remains the largest and most established cryptocurrency. Over the 12-month period it experienced a substantial drawdown from the prior year's high levels, but it also showed a strong recovery in August 2026. Bitcoin gained roughly 24–28% during August, while remaining below its October 2025 record. Its large market size and deeper liquidity generally make it less volatile than ETH and SOL, although it remains a high-risk asset.



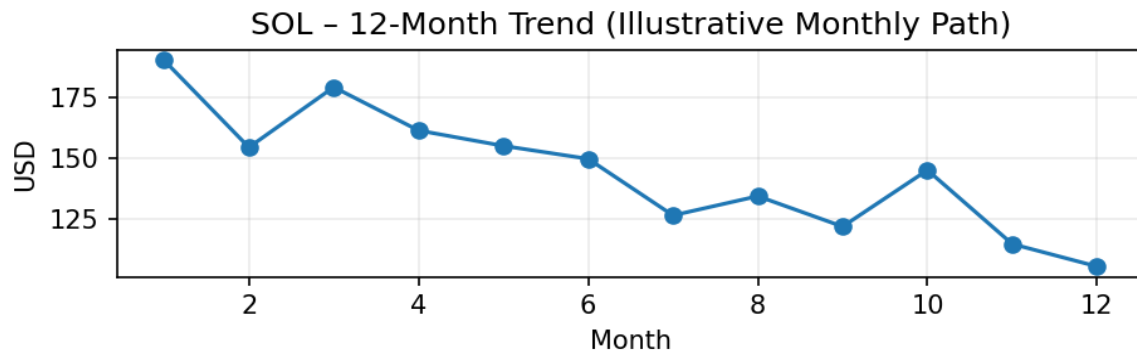
4. Ethereum (ETH) – Performance & Risk

Ethereum declined about 44% year over year to approximately \$2,453 on Aug. 31, 2026. Despite the annual decline, it had recovered strongly over the previous month, rising about 28% from the prior month's level. Ethereum's investment case is linked to smart contracts, decentralized applications and its broader blockchain ecosystem. Its risk is higher than Bitcoin because of greater price sensitivity and competition across blockchain platforms.



5. Solana (SOL) – Performance & Risk

Solana is a high-throughput Layer-1 blockchain with strong activity in decentralized applications and trading. Its recent price was about \$105.59 on Aug. 29, 2026. SOL showed a sharp recovery during August, rising from the mid-\$70s to above \$100, but its smaller market size and higher beta make it more volatile than Bitcoin. It therefore offers greater upside potential with correspondingly higher downside risk.



6. Risk Comparison

Bitcoin: High risk, but the strongest liquidity and largest market capitalization among the three. **Ethereum:** Very high risk, with larger drawdowns but exposure to the smart-contract ecosystem. **Solana:** Very high risk and higher volatility, with potentially greater upside if its ecosystem continues to grow.

7. Recent Market Factors

Crypto prices in August 2026 were strongly influenced by U.S. monetary-policy expectations, the U.S. dollar, institutional flows and regulatory developments. Bitcoin's August rally was linked in recent reporting to a softer dollar, Treasury bond-buyback plans and renewed institutional interest. These same macro factors can affect Ethereum and Solana because the broader crypto market tends to move together during major risk-on/risk-off periods.

8. Insights & Recommendations

For a conservative crypto allocation, **Bitcoin** is the preferred choice among these three because of its market maturity and liquidity. For investors willing to accept higher risk for exposure to blockchain applications, **Ethereum** can be considered as a second allocation. **Solana** should be treated as the highest-risk/highest-volatility component and kept as a smaller allocation in a diversified portfolio.

A suitable educational model portfolio could be **50% BTC, 30% ETH and 20% SOL**. This is only an example for the assignment and is not personalized financial advice. Investors should avoid leverage, use position sizing and invest only money they can afford to lose.

9. Conclusion

All three cryptocurrencies delivered negative 12-month performance in the selected period, but their risk profiles differ. Bitcoin showed the strongest relative resilience and a notable August recovery. Ethereum combined a large annual decline with a strong recent rebound. Solana also recovered sharply but remains the most speculative of the three. The key lesson is that higher potential returns in crypto come with significant volatility and drawdown risk; diversification and disciplined position sizing are therefore essential.

Sources: CoinGecko historical data; Fortune Ethereum price report (31 Aug 2026); Barron's/MarketWatch/Reuters reporting on Bitcoin's August 2026 performance; Gadgets 360 Solana price history. Accessed 31 August 2026.